

SECTION 1: BASIC CONCEPTS

1.1 SCARCITY, ECONOMIC GOODS & FREE GOODS

Multiple Choice Questions

1991/CE/II/01

Owing to the problem of scarcity in a society, we have to

- (1) impose price controls
 - (2) make choices
 - (3) adopt a planned economic system
 - (4) compete against one another
- A. (1) and (3) only
B. (1) and (4) only
C. (2) and (3) only
D. (2) and (4) only

1994/CE/II/01

'Even though Japan is one of the richest economies in the world, it still has to face the problem of scarcity.' The statement is

- A. false, because scarcity only exists in developing countries.
B. false, because Japan has a high gross product (GNP).
C. true, because what the Japanese have cannot satisfy all their wants.
D. True, because Japan's income is unevenly distributed.

1995/CE/II/01

It was reported that many people queued for two days in order to get the monthly parking ticket for a certain car park. This phenomenon implies

- (1) scarcity in parking spaces.
(2) the existence of competition.
(3) shortage of parking spaces.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

1995/CE/II/02

Scarcity exists

- A. because there is more than one person in the world.
B. if at least one person's wants are not fully satisfied.
C. because resources are not evenly distributed.
D. if the market price is kept below the equilibrium level.

1997/CE/II/01

Which of the following statements about scarcity is true?

- A. Once a choice is made, the problem of scarcity is solved.
- B. A good is scarce if not everyone has it.
- C. Scarcity means unlimited human wants.
- D. Both rich people and poor people face the problem of scarcity.

1998/CE/II/54

Which of the following statements about choice is **INCORRECT**?

- A. People have to choose in order to avoid competition.
- B. People have to choose if there is scarcity.
- C. People choose the option with the least cost.
- D. People choose the most preferred option.

1999/CE/II/01

The existence of scarcity implies that

- A. the economy is a planned economy
- B. there is competition for the good
- C. effective price control is imposed on the good
- D. wealth is not evenly distributed

2004/CE/II/01

The existence of scarcity implies that

- A. resources will be allocated by the price mechanism.
- B. all markets are perfectly competitive.
- C. the quantity supplied of all goods is fixed.
- D. people need to pay for what they want.

2005/CE/II/01

The existence of scarcity implies that

- A. there is no such thing as free goods.
- B. human wants are unlimited.
- C. each and every economic good has a positive money price.
- D. there is a cost in obtaining some goods.

2009/CE/II/01

Which one of the following statements about scarcity is correct?

- A. A good is scarce when only a small quantity of it is available.
- B. A good is scarce when people want to have more of it.
- C. There is no scarcity in a planned economy.
- D. The problem of scarcity can be solved by adjusting prices.

1990/CE/II/02

A free good is a good which

- A. nobody wants.
- B. is provided by the government free of charge.
- C. is not scarce.
- D. is plentiful in supply.

For Details and Registration:

☎ : 2317 0010 ☎ : 5329 0094

1990/CE/II/25

Which of the following statements is correct?

- A. Scarcity exists only in poor countries.
- B. If there were plenty of rainwater in Hong Kong, the cost of the domestic water supply would be zero.
- C. The 9 years free education provided by the Hong Kong government is a scarce good.
- D. Economics is concerned with how free goods are distributed.

1991/CE/II/03

Which of the following are economic goods?

- (1) social welfare provided by the government
 - (2) gifts from parents
 - (3) flowers in a garden
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

1991/CE/II/55

Scarcity of commodity X will **NOT** occur when

- A. there is a great supply of it
- B. nobody wants it
- C. it is free of charge
- D. only one person wants it

1992/CE/II/01

A scarce resource has the following characteristic:

- A. Its supply is fixed.
- B. It is difficult to find.
- C. It is in great demand.
- D. It has a price on the market.

1992/CE/II/02

To society, used aluminium Coca-Cola cans are _____ because _____.

- A. free goods nobody wants them
- B. free goods there are plenty of them
- C. economic goods they have alternative uses
- D. economic goods they were produced from scarce resources

1993/CE/II/16

In Nathan Road one day, samples of a new brand of shampoo were given away free to passers-by. Within an hour, and available samples were gone. These free samples are _____ because _____.

- A. free goods they are free of charge
- B. free goods they are used for advertising purposes
- C. economic goods the passers-by want them
- D. economic goods they are limited in supply relative to people's wants

1994/CE/II/02

In a lottery, Peter wins a transferable air ticket to Japan. Which of the following statements is correct?

- A. The ticket is a free good.
- B. Peter will not lose anything if he loses the ticket.
- C. The opportunity cost to Peter of using the ticket is zero.
- D. The opportunity cost to Peter of using the ticket increases if the price of ticket increases.

1995/CE/II/03

To a society, used paper for recycling is _____ because _____.

- A. a free good it is free of charge
- B. a free good it has no alternative uses
- C. an economic good more than one people want it
- D. an economic good people prefer to have more of it

1996/CE/II/55

Which of the following is **NOT** true about a free good?

- A. Nobody wants to have more of it.
- B. Its price is zero.
- C. It is unlimited in supply.
- D. It has use value.

1997/CE/II/12

Read the following advertisement

HOTEL ABC FREE BUFFET DINNER Buy two buffet dinners and get one free! (From Monday to Thursday) \$200 for one person \$400 for two persons plus a friend
--

The free buffet dinner is

- A. a free good because the quantity supplied is greater than the quantity demanded.
- B. a free good because it is free of charge.
- C. an economic good because more of the food is preferred to less of it.
- D. an economic good because non-price competition is involved.

1998/CE/II/01

If a good is scarce,

- A. only a small quantity is available.
- B. its price will increase.
- C. its quantity supplied is smaller than its quantity demanded at all prices.
- D. more of it is preferred.

1998/CE/II/02

Which of the following statements about goods are correct?

- (1) Free goods are free of charge
 - (2) Natural resources are free goods.
 - (3) Inputs are economic goods.
 - (4) Outputs are economic goods.
- A. (1) and (2) only
B. (1) and (4) only
C. (2) and (3) only
D. (3) and (4) only

2000/CE/II/01

Good X is a 'free good' when

- A. there is no opportunity cost involved in using it.
- B. its quantity supplied is greater than what consumers are willing to purchase in the market.
- C. nobody wants more of it.
- D. its supply is so abundant that consumers place no value on it.

2001/CE/II/47

Which of the following is **NOT** classified as 'economic good'?

- A. a company's stock whose price has been falling for two months
- B. the votes for the candidates in Legislative Council election
- C. stray and homeless dogs in the streets
- D. used paper collected for recycling

2002/CE/II/01

In which of the following situations would ice in the North Pole be regarded as a free good?

- A. The ice is a gift of nature.
- B. More of the ice is not preferred.
- C. The price of the ice is zero.
- D. The quantity demanded of ice is smaller than the quantity supplied at a price greater than zero.

2002/CE/II/02

Nowadays, many people download their favourite songs and pictures through the Internet without paying any fee. To society, these songs and pictures are

- A. free goods because there are plenty of songs and pictures on the Internet.
- B. free goods because their original owners have not received any payments.
- C. economic goods because the cost involved in using the Internet is negligible.
- D. economic goods because there are costs involved in producing these songs and pictures.

2003/CE/II/01

In some poor countries in Africa, people do not have enough food and have to eat rats. They have to dig into the ground in order to find these rats. The rats in the above case are

- A. not an economic good because rats are harmful to people.
- B. an economic good because more of them is preferred.
- C. a free good because there is no cost of producing rats.
- D. an economic good because rats can satisfy human wants.

2004/CE/II/03

Good X is an economic good if

- A. more than one person needs it.
- B. more of it is preferred.
- C. it can satisfy human wants.
- D. it is limited in supply.

2005/CE/II/02

Upon successful application for a credit card from a bank, Miss Chan obtains a digital versatile disc (DVD) player as a free gift. These free gifts are

- A. free goods, because successful applicants like Miss Chan have no cost to pay.
- B. free goods, because the quantity supplied is larger than the quantity demanded.
- C. economic goods, because more of these goods are preferred to less.
- D. economic goods, because the quantity available is limited.

2006/CE/II/03

Every July of the Lunar calendar, many charity organizations distribute packs of rice to people free of charge. Those who spend a lot of time queuing up for this rice are mostly elderly people.

These packs of charity rice are economic goods because

- A. the quantity of this rice is limited.
- B. rice can satisfy people's wants.
- C. the wants for this rice are unlimited.
- D. people want more of this rice.

2007/CE/II/01

A good is a free good if

- A. it is rare or it can be found easily.
- B. there is enough of it available free of charge for everyone who wants it.
- C. there is enough of it available for everybody who pays the market price for it.
- D. no one owns it.

2008/CE/II/01

From the viewpoint of society,

- A. people will not compete for free goods.
- B. money price is the only criterion of competition for scarce goods.
- C. resources with alternative uses are scarce.
- D. there is no scarcity in a barter economy.

2009/CE/II/01

Free goods

- A. are unlimited in supply.
- B. are goods for which people will not pay a price to get more.
- C. can be found only in a planned economy but not in a market economy.
- D. exist only in theory but not in the real world.

2014/DSE/I/03

An economic good

- A. is a good with its demand greater than its supply.
- B. brings us more satisfaction than a free good.
- C. is a good whose quantity available cannot satisfy human wants at zero price.
- D. cannot be found free of charge in any economy.

2016/DSE/I/01

Which of the following statements about economic goods is correct?

- A. Economic goods may not be scarce.
- B. People compete for economic goods.
- C. People prefer economic goods to free goods.
- D. People compete for both economic goods and free goods.

2023/DSE/I/05

Which of the following statements about the classification of goods is correct?

- A. Musical instruments used by street performers are public goods because the music performed with these instruments can be enjoyed concurrently by many people.
- B. Textbooks are private goods because the marginal cost of producing an additional unit of textbooks is positive.
- C. Artworks exhibited in the Hong Kong Palace Museum (香港故宮文化博物館) are consumer goods because costs are involved in their production.
- D. Popular free online videos for learning English are economic goods because their quantities are not enough to satisfy human wants.

2024/DSE/I/02

Which of the following situations imply the existence of scarcity?

- (1) People need to choose between two options.
 - (2) People can obtain what they want by paying the market price.
 - (3) People cannot obtain what they want even after queuing up for hours.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2024/DSE/I/03

Which of the following statements about sea water is correct?

- A. Seawater is a capital good when fishermen use it to keep their catches alive.
- B. Seawater is a public good as the government provides it to the public for flushing the toilets.
- C. Seawater is a free good as people can obtain seawater free of charge.
- D. Seawater is an inferior good as no one drinks seawater.

2025/DSE/I/03

Trees in a natural rainforest are _____.

- A. economic goods if people are willing to spend money to preserve the trees
- B. free goods because they are natural resources which involve no production costs
- C. land in Economics because they are geographically immobile
- D. public goods if the rainforest is managed by the government

Short & Structured Questions

1991/CE/I/2(c)(iii)

Define 'free good'. Give an example of oxygen when it is regarded as a free good and another example when it is not. (6 marks)

1994/CE/I/1

The Kowloon-Canton Railway Corporation provides a free shuttle-bus service (接駁巴士服務) at some train stations. Explain whether this service is a 'free good' to society or not. (4 marks)

2000/CE/I/1

Statement 1: Ice is a free good.

Statement 2: Ice is an economic good.

Explain one situation in which statement 1 is correct and another situation in which statement 2 is correct. (4 marks)

2002/CE/I/1

Some job vacancies publications are distributed to people free of charge in MTR stations. Explain whether these publications are free goods in society. (3 marks)

2004/CE/I/1

Hong Kong citizens could use public swimming pools free of charge on Sundays in July of 2003. Explain whether the above service was a free good to society. (3 marks)

2012/DSE/II/1

A good which is free-of-charge is a free good. Do you agree? Explain. (3 marks)

2013/DSE/II/9(b)

The following is an extract from a local newspaper article.

The MTR Corporation raised the railway fares by 5.4% in 2012. This increase was based on the Fare Adjustment Mechanism set by the government. To respond to the discontent of the public over the fare increase, the Corporation introduced a concessionary measure "Ride 10 Get 1 Free".

Under the "Ride 10 Get 1 Free" scheme, with 10 fare-paying journeys on the MTR from Monday to Friday in the same week, passengers could get a single journey ticket for free. Is the free journey a free good? Explain. (2 marks)

2015/DSE/I/(a)(i)

More and more famous universities offer "massive open online courses" (MOOC) to students from various backgrounds for systematic learning.

Most of the teaching materials in MOOC can be accessed online by anyone free of charge. Explain whether these materials are free goods. (2 marks)

2020/DSE/II/1

A free good must be free of charge. Do you agree? Explain your answer. (3 marks)

2023/DSE/II/1(c)

An electric car manufacturer took over a social media company.

(c) Some economists share their economic analyses on social media free of charge. Explain whether these economic analyses are free goods to society. (2 marks)

2024/DSE/II/10(a)

The government of City B actively promotes the development of tourism industry.

Suppose some airlines in City B hold promotion campaigns that a total of 20 000 flight tickets to City B are given out for free.

- (a) Explain whether the free flight tickets are
- (i) free goods. (2 marks)
 - (ii) public goods. (3 marks)